

A Post-COVID Fading Boom: Cohort-Driven Demand and the Limits of Premium Pricing in Hawai‘i’s Dog Daycare Market

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My dog daycare has reached a point where the pricing and positioning decisions I made in survival mode no longer fit the market I am actually operating in. Growth decelerated from 96.0% year-over-year in 2023 to 22.9% in 2024 and 8.2% in 2025, and the question now is not whether to grow at any cost, but how to price and position a mature business in a market that has stopped expanding.

The business did not arrive here smoothly. Lockdowns in March 2020 emptied it almost overnight — daycare has little value to a dog whose owner is home all day — and surviving meant discounting services for essential workers; revenue fell only 0.8% that year, understating how close the business came to closing. As owners of “covid puppies” later returned to offices, their dogs’ separation anxiety created sudden demand: revenue grew 395% in 2022 and 96.0% in 2023. That boom has largely run its course, leaving a fork: hold pricing born out of a demand shock, or re-price for the market actually here now.

Three aspects outline the economic framework.

Income elasticity of demand means demand falls disproportionately when budgets tighten — dog daycare is discretionary, not a necessity. That explains part of the 2020 collapse, when discretionary spending got cut first, not a judgment on daycare itself, and remains a forward risk: a recession would hit this revenue harder than overall local spending.

Market structure and barriers to entry shape how easily competitors can enter and constrain pricing. Land for a daycare facility is scarce in Hawai‘i, unlike most mainland cities, which limits every operator’s ability to expand or enter — a reason prices here could sit higher than the mainland, not lower.

Tastes and preferences describe how much a population values a good independent of what it can afford. Dogs are a lower cultural priority in Hawai‘i than on the mainland, and the comparative lack of dog-friendly infrastructure here is a symptom of that lower priority, not its cause.

Figure 1 lines up my own year-over-year revenue growth against APPA’s national pet industry growth rate, 2020–2025 (2019 excluded on both sides as a startup-year artifact). The two lines are not supposed to move together, and the gap is the evidence.

My revenue troughed in 2020 (−0.8%) the same year the national industry was rising (+6.7%, reaching +19.3% by 2021) (Supermarket News, 2021). APPA’s total is dominated by pet food and supplies, which rose as people stuck at home acquired pets; daycare is the opposite kind of good. The BLS’s pet-care-services output series (boarding, grooming, training, sitting) fell 15.6% from 2019 to 2020 (U.S. Bureau of Labor Statistics, 2021), a closer match to my own experience than the APPA aggregate.

My own boom did not arrive until 2022 (+395%) and 2023 (+96.0%) (a year after the national peak) because daycare demand depends on people leaving the house again, not the initial wave of pet acquisition. That lag is the mechanism evidence.

Both lines decelerate together by 2024–2025: national growth fell from 10.8% (2022) to 3.4% (2024), ticking to 3.7% in 2025 (American Pet Products Association, 2026) — still a third of 2022’s rate, not a reversal — while mine fell from 96.0% to 22.9% to 8.2%. Two very different series decelerating on the same timeline is strong evidence this is a broad normalization, not specific to my business.

A cohort effect explains the 2022–2023 boom: it came from dogs acquired in 2020–2021 who needed intensive socialization once owners returned to normal schedules, and as those dogs matured, reliance on daily daycare tapered even without losing the client. The mechanism is maturation, not mortality — a falsifiable claim: it would be wrong if growth had kept accelerating, or if my clientele’s age mix stayed dominated by the 2020–21 cohort instead of skewing younger. The deceleration in Figure 1 fits this story, as does my own observation that the clientele skews younger over time. Grand View Research independently attributes day boarding’s majority 2024 market share to “pet parents returning to office post-COVID” (Grand View Research, 2024) — the same mechanism, reached independently.

Figure 2 addresses pricing directly, and it overturns the hypothesis this analysis started with. The expectation was that Hawai‘i lags mainland “bougie” pricing. The actual numbers say the opposite: my day rate of \$75 sits above every mainland premium benchmark (Los Angeles \$52, Dogdrop.co, n.d.; San Francisco \$56.42, Rover.com, n.d.-c; New York \$60, Rover.com, n.d.-b) and roughly double Honolulu’s general average of \$37.50 (Rover.com, n.d.-a). The story isn’t that Hawai‘i hasn’t caught up to mainland pricing — it’s that Hawai‘i barely has a premium tier at all.

Market structure and tastes/preferences resolve into one explanation at different points on the price ladder. Mainland cities support a deep field of competing premium operators, holding prices in a narrow \$52–60 band. Hawai‘i lacks that depth — a direct consequence of land scarcity — so my price isn’t held down the same way. Tastes and preferences explain why so few Hawai‘i operators build toward premium at all; market structure explains why, having built into that thin tier, my pricing power is unusually strong.

My recommendations follow from both findings.

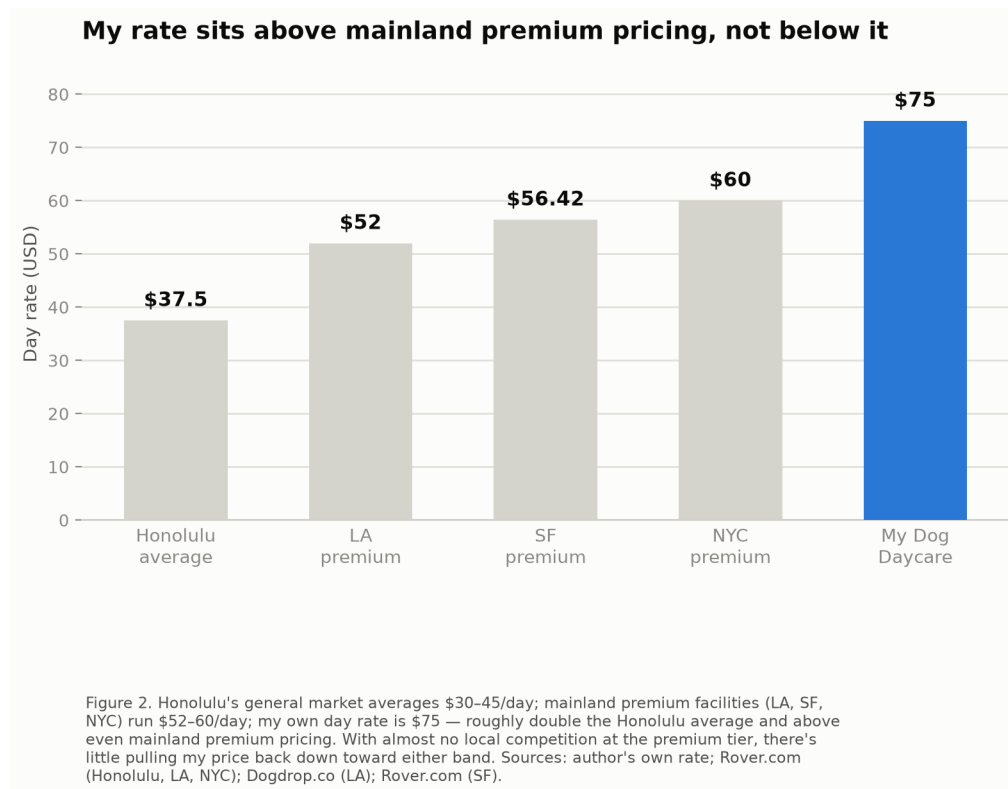
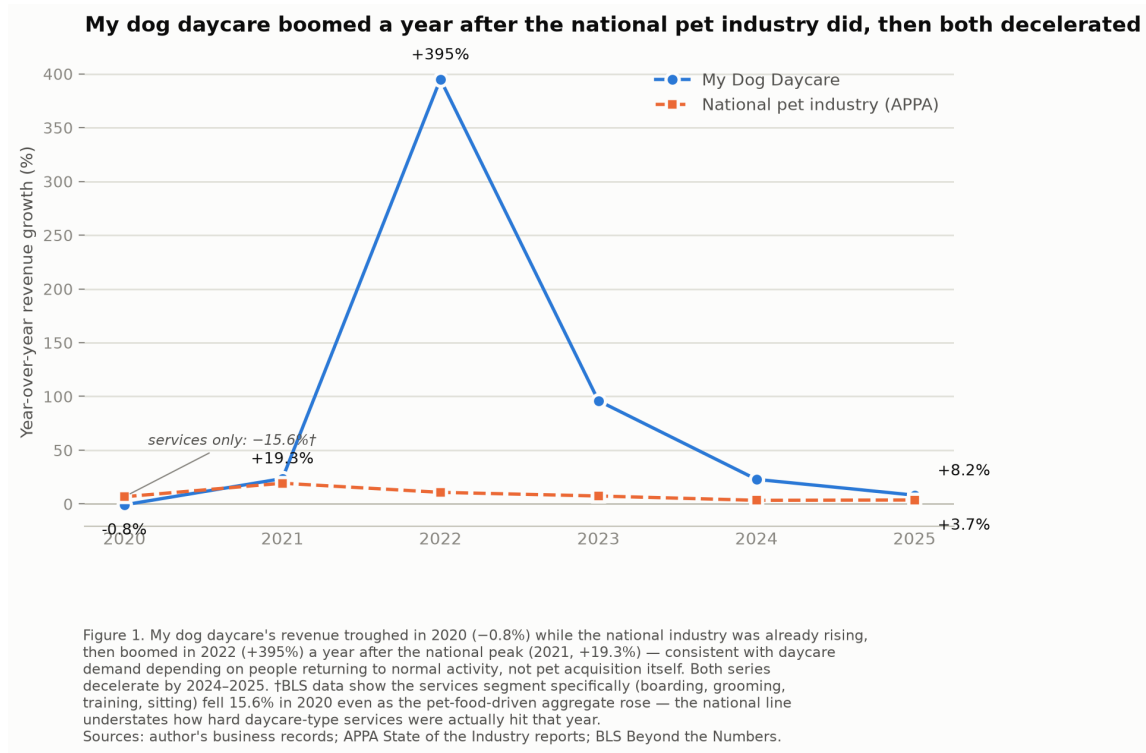
Hold the \$75 day rate at the premium tier, or test raising it further. This price is sustained by the absence of competitors able to underprice it, not by broad mainland-style demand — Figure 2's gap above even mainland pricing supports this directly. Pricing power here comes from supply-side scarcity, not demand strength.

Add a mid-tier option below the premium tier, as vertical differentiation within one brand: the same admission standards, trained staff, and quality bar as premium, minus field trips — the logic of airline cabin classes. This protects against brand dilution, and carries a cost argument too: field trips are the most staff-intensive part of the premium service, so a mid-tier without them likely costs less per dog, independent of whether it also captures price-sensitive clients.

Bundle grooming and training onto the premium (and mid-tier) client relationship, and add a small retail offering at the front of house. This is an economies-of-scope argument: capturing more of an existing trusted relationship's spending is cheaper than acquiring a new client, and retail specifically is a business-scale answer to the dog-friendly-infrastructure gap the tastes-and-preferences analysis identified in the broader Hawai'i market.

The strongest objection is land scarcity: the same barrier protecting my premium price also constrains the mid-tier's capacity and retail's floor space, and this plan does not resolve it. That is itself evidence for the paper's argument: an established, revenue-generating business still cannot easily find space here. Land really is the barrier to entry in Hawai'i's dog daycare market — the same scarcity that lets this business hold a price no mainland competition would allow also constrains its own expansion.

Figures



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